

to assign any significant value to it. Claugus views these trades as providing free optionality—you pay a fair value for the stock based on the prevailing statistic only, but get the upside of the anticipated favorable development (e.g., new source of production) for free. Fundamental screens will fail to identify these stocks because the source of the bullish potential is not at all reflected in current statistics.

A common error that traders make is to judge whether a trading decision was right—or wrong—based on the outcome. If I offer you 2:1 odds on a fair coin toss, and you take the bet and lose, it may be a losing bet, but it is still a correct bet because, on balance, making the same decision repeatedly will be very profitable. Similarly, a losing trade can still reflect a correct trading decision. Claugus lost money in shorting what he terms “Evel Knievel” stocks in late 1999. But these trades were not mistakes because Claugus has found that shorting these companies is a winning strategy. There is no way of knowing a priori which individual trade is likely to be a winner. Traders need to accept that a certain percentage of good trades will lose money. As long as a profitable strategy is implemented according to plan, a trade loss does not imply a trading mistake.

On the flip side, a winning trade can still be a poor trading decision. For example, if someone went long Internet stocks at the beginning of January 2000 and liquidated at the end of February 2000, in terms of outcome, it would be a brilliant trade. But it would be a horrible trade in terms of making the same trading decision over and over again under similar circumstances. The market happened to top in early March, but it could just as easily have topped in early January. Even though the specific trade would have been profitable, if the same trading decision were made over and over again under similar circumstances, the net outcome would often be a large loss.

Trading is a matter of probabilities. Any trading strategy, no matter how effective, will be wrong a certain percentage of the time. Traders often confuse the concepts of winning and losing traders with good and bad trades. A good trade can lose money, and a bad trade can make money. A good trade follows a process that will be profitable (at an acceptable risk) if repeated multiple times, although it can lose money on any individual trade. A bad trade follows a process that will lose money if repeated multiple